

MASTER SERVICES AGREEMENT

Agreement Number: MSA-2024-001 **Effective Date:** January 1, 2024 **Expiration Date:** December 31, 2026

PARTIES

This Master Services Agreement ("Agreement") is entered into by and between:

SERVICE PROVIDER: TechServices Global Inc. 123 Innovation Drive, Suite 500 San Francisco, CA 94105 United States Tax ID: 94-1234567 ("Provider")

CLIENT: Acme Corporation 456 Business Park Boulevard New York, NY 10001 United States Tax ID: 13-9876543 ("Client")

Collectively referred to as the "Parties."

1. DEFINITIONS

1.1 **"Affiliate"** means any entity that directly or indirectly controls, is controlled by, or is under common control with a Party.

1.2 **"Confidential Information"** means all non-public information disclosed by either Party, including but not limited to trade secrets, business plans, customer data, technical specifications, and financial information.

1.3 **"Deliverables"** means all work product, documentation, software, and materials provided by Provider under any Statement of Work.

1.4 **"Service Levels"** or **"SLAs"** means the performance standards set forth in Exhibit A attached hereto.

1.5 **"Statement of Work"** or **"SOW"** means a document executed by the Parties describing specific services to be performed.

2. SCOPE OF SERVICES

2.1 Provider shall provide IT infrastructure management, application support, and helpdesk services as detailed in executed Statements of Work.

2.2 Services shall be performed in accordance with industry best practices and the Service Level Agreements specified in Exhibit A.

3. TERM AND RENEWAL

3.1 **Initial Term:** This Agreement shall commence on the Effective Date and continue for three (3) years ("Initial Term").

3.2 **Auto-Renewal:** This Agreement shall automatically renew for successive one (1) year periods unless either Party provides written notice of non-renewal at least ninety (90) days prior to the expiration of the then-current term.

3.3 **Notice Period:** Either Party must provide ninety (90) days written notice to terminate this Agreement.

4. FEES AND PAYMENT

4.1 **Base Monthly Fee:** Client shall pay Provider a base monthly fee of **\$125,000.00 USD** for the services described herein.

4.2 **Total Contract Value:** The total estimated value of this Agreement is **\$4,500,000.00 USD** over the Initial Term.

4.3 **Payment Terms:** All invoices are due and payable within **Net 30** days of receipt.

4.4 **Late Payment Interest:** Overdue amounts shall accrue interest at the rate of **1.5%** per month.

4.5 **Annual Price Adjustment (COLA):** Fees may be adjusted annually by the Consumer Price Index (CPI) increase, not to exceed **3%** per year.

5. SERVICE LEVEL AGREEMENTS

Provider commits to the following Service Level Agreements. Failure to meet these SLAs may result in Service Credits as specified in Section 6.

5.1 System Availability

Metric	Target	Minimum	Measurement Period
Core System Availability	99.9%	99.5%	Monthly
Network Availability	99.95%	99.8%	Monthly
Application Availability	99.7%	99.0%	Monthly

5.2 Response Times

Priority	Description	Response Time	Resolution Time
P1 - Critical	System down, business stopped	15 minutes	4 hours
P2 - High	Major function impaired	30 minutes	8 hours
P3 - Medium	Minor function impaired	2 hours	24 hours
P4 - Low	General inquiry	4 hours	72 hours

5.3 Performance Metrics

Metric	Target	Minimum
First Call Resolution Rate	75%	65%
Customer Satisfaction Score	4.5/5.0	4.0/5.0
Mean Time to Repair (MTTR)	2 hours	4 hours
Change Success Rate	98%	95%
Incident Recurrence Rate	< 5%	< 10%

6. SERVICE CREDITS AND PENALTIES

6.1 Service Credit Calculation: If Provider fails to meet any SLA target, Client shall be entitled to Service Credits as follows:

SLA Achievement	Service Credit
99.0% - 99.49%	5% of monthly fee
98.0% - 98.99%	10% of monthly fee
97.0% - 97.99%	15% of monthly fee
Below 97.0%	25% of monthly fee

6.2 Maximum Credits: Total Service Credits in any month shall not exceed **30%** of the monthly fee.

6.3 Earn Back Provision: Provider may earn back up to 50% of Service Credits by achieving 100% of all SLA targets for three consecutive months.

6.4 Chronic Failure: If Provider fails to meet any Critical SLA for three (3) consecutive months, Client may terminate this Agreement without penalty.

7. OBLIGATIONS

7.1 Provider Obligations

7.1.1 Provider shall maintain a dedicated account team including: - Account Manager (available during business hours) - Technical Lead (24/7 on-call) - Service Delivery Manager

7.1.2 Provider shall deliver monthly performance reports by the **5th business day** of each month.

7.1.3 Provider shall conduct quarterly business reviews with Client stakeholders.

7.1.4 Provider shall maintain all required certifications including: - ISO 27001 (Information Security) - SOC 2 Type II (Security Controls) - ITIL v4 Foundation

7.1.5 Provider shall notify Client within **24 hours** of any security incident.

7.1.6 Provider shall maintain business continuity plans with annual testing.

7.2 Client Obligations

7.2.1 Client shall provide reasonable access to systems and facilities.

7.2.2 Client shall designate a primary point of contact within **10 business days** of the Effective Date.

7.2.3 Client shall respond to Provider inquiries within **2 business days**.

7.2.4 Client shall provide timely approvals for change requests (within **5 business days**).

8. CONFIDENTIALITY

8.1 Each Party shall maintain the confidentiality of the other Party's Confidential Information for a period of **five (5) years** from disclosure.

8.2 Neither Party shall disclose Confidential Information to any third party without prior written consent.

8.3 This obligation shall survive termination of this Agreement.

9. INTELLECTUAL PROPERTY

9.1 **Pre-Existing IP:** Each Party retains ownership of its pre-existing intellectual property.

9.2 **Work Product:** All Deliverables created specifically for Client shall be owned by Client upon full payment.

9.3 **Provider Tools:** Provider retains ownership of all tools, methodologies, and frameworks used in providing services.

9.4 **License Grant:** Provider grants Client a perpetual, non-exclusive license to use any Provider tools embedded in Deliverables.

10. LIABILITY

10.1 **Limitation of Liability:** Neither Party's total liability shall exceed **two times (2x)** the annual fees paid or payable under this Agreement.

10.2 **Exclusion of Damages:** Neither Party shall be liable for indirect, incidental, consequential, or punitive damages.

10.3 **Exceptions:** The limitations above shall not apply to: - Breach of confidentiality obligations - Intellectual property infringement - Gross negligence or willful misconduct - Indemnification obligations

11. INDEMNIFICATION

11.1 **Provider Indemnification:** Provider shall indemnify Client against claims arising from: - Provider's breach of this Agreement - Provider's negligence or misconduct - Infringement of third-party intellectual property rights

11.2 Client Indemnification: Client shall indemnify Provider against claims arising from: - Client's breach of this Agreement - Client-provided materials or content - Client's use of services in violation of applicable law

12. INSURANCE

Provider shall maintain the following insurance coverage:

Coverage Type	Minimum Amount
General Liability	\$2,000,000 per occurrence
Professional Liability (E&O)	\$5,000,000 per claim
Cyber Liability	\$10,000,000 per claim
Workers Compensation	As required by law

13. TERMINATION

13.1 Termination for Cause: Either Party may terminate upon **30 days** written notice if the other Party materially breaches this Agreement and fails to cure within the notice period.

13.2 Termination for Convenience: Client may terminate for convenience upon **180 days** written notice, subject to payment of early termination fees.

13.3 Early Termination Fees:

Termination Timing	Fee
Year 1	50% of remaining contract value
Year 2	35% of remaining contract value
Year 3	20% of remaining contract value

13.4 Transition Assistance: Provider shall provide transition assistance for up to **90 days** following termination at then-current rates.

14. DISPUTE RESOLUTION

14.1 Escalation: Disputes shall first be escalated to executive management of both Parties for resolution within **30 days**.

14.2 **Mediation:** If unresolved, Parties shall attempt mediation in New York, NY.

14.3 **Arbitration:** Disputes not resolved through mediation shall be settled by binding arbitration under AAA Commercial Rules.

15. GOVERNING LAW

This Agreement shall be governed by the laws of the **State of New York**, without regard to conflicts of law principles.

16. FORCE MAJEURE

Neither Party shall be liable for delays or failures due to circumstances beyond reasonable control, including natural disasters, war, terrorism, or government actions. The affected Party must notify the other within **48 hours** of such event.

17. DATA PROTECTION

17.1 Provider shall comply with all applicable data protection laws including GDPR and CCPA.

17.2 Provider shall implement appropriate technical and organizational measures to protect personal data.

17.3 Provider shall notify Client within **72 hours** of any data breach.

17.4 Provider shall execute a Data Processing Agreement as Exhibit B to this Agreement.

18. AUDIT RIGHTS

18.1 Client may audit Provider's compliance with this Agreement upon **30 days** prior written notice.

18.2 Audits shall be conducted during normal business hours and no more than **once per year**.

18.3 Provider shall cooperate fully with audit requests and provide access to relevant records.

KEY DATES SUMMARY

Event	Date	Notice Required
Agreement Effective	January 1, 2024	-
First Quarterly Review	April 1, 2024	14 days
Annual Review	January 1, 2025	30 days
Auto-Renewal Decision	October 1, 2026	90 days
Agreement Expiration	December 31, 2026	-

SIGNATURES

TechServices Global Inc.

Signature: _____ Name: John Smith Title: Chief Executive Officer
Date: December 15, 2023

Acme Corporation

Signature: _____ Name: Jane Doe Title: Chief Information Officer
Date: December 18, 2023

EXHIBIT A - SERVICE LEVEL AGREEMENT DETAILS

[Detailed SLA specifications as referenced in Section 5]

EXHIBIT B - DATA PROCESSING AGREEMENT

[GDPR-compliant DPA to be attached]

EXHIBIT C - PRICING SCHEDULE

[Detailed pricing breakdown to be attached]

End of Agreement